

Agenda Item 6-B

Indicative Drafting – Special Considerations Related to ISA 220 (Revised)

Please note that:

- The ISA 600 Task Force (the 'Task Force') included this indicative drafting to illustrate how the special considerations in an audit of group financial statements related to proposed ISA 220 (Revised)¹ might be presented in ISA 600 (Revised). The Task Force has only had preliminary discussions on the drafting and will continue to develop it based on input from the IAASB during the June 2019 meeting and further Task Force deliberations in July 2019;
- The colors show how the requirements in extant ISA 600² have been used in the indicative drafting. It is suggested that this document be printed in color if possible to make it easier to distinguish between the different colors used; and
- For purposes of this indicative drafting, the Task Force considers the "engagement team" for a group audit to be the "group engagement team" and any "component auditors." See paragraph 48 in **Agenda Item 6** for more information.

<u>Extant ISA 600</u>	<u>Indicative Drafting</u>	<u>Application Material</u>
Responsibility 11. The group engagement partner is responsible for the direction, supervision and performance of the group audit engagement in compliance with professional standards and applicable legal and regulatory requirements, and whether the auditor's report that is issued is appropriate in the circumstances. As a result, the auditor's report on the group financial statements shall not refer to a component auditor, unless required by law or regulation to	Quality Management for an Audit of Group Financial Statements 11A. As required by ISA 220 (Revised), the group engagement partner shall take overall responsibility for managing and achieving quality on the group audit engagement. In doing so, the group engagement partner shall be sufficiently and appropriately involved throughout the engagement, including in the work of component auditors, such that the group engagement partner has the basis for	Application material explaining: • How the engagement partner can be involved in a group audit; • That applying ISA 220 (Revised) in a group audit engagement may be more difficult because there may be different locations, involvement of other auditors

Commented [A1]: Paragraph 11 of extant ISA 600 is linked to a requirement in extant ISA 220 under the subheading 'Direction, Supervision and Performance.' The view of the Task Force is that it is preferable to have an overarching requirement that links back to requirements in ISA 220 (Revised) under the section: 'Leadership Responsibilities for Managing and Achieving Quality on Audits.'

¹ Proposed International Standard on Auditing (ISA) 220 (Revised), *Quality Management for an Audit of Financial Statements*

² ISA 600, *Special Considerations—Audits of Group Financial Statements (Including the Work of Component Auditors)*

<u>Extant ISA 600</u>	<u>Indicative Drafting</u>	<u>Application Material</u>
include such reference. If such reference is required by law or regulation, the auditor's report shall indicate that the reference does not diminish the group engagement partner's or the group engagement partner's firm's responsibility for the group audit opinion. (Ref: Para. A8–A9) Acceptance and Continuance 12. In applying ISA 220, the group engagement partner shall determine whether sufficient appropriate audit evidence can reasonably be expected to be obtained in relation to the consolidation process and the financial information of the components on which to base the group audit opinion. For this purpose, the group engagement team shall obtain an understanding of the group, its components, and their environments that is sufficient to identify components that are likely to be significant components. Where component auditors will perform work on the financial information of such components, the group engagement partner shall evaluate whether the group engagement team will be able to be involved in the work of those component auditors to the extent necessary to obtain sufficient appropriate audit evidence. (Ref: Para. A10–A12) 13. If the group engagement partner concludes	determining whether the significant judgments made and the conclusions reached are appropriate given the nature and circumstances of the engagement. 11B. As required by ISA 220 (Revised), the engagement partner shall be satisfied that the firm's policies or procedures for the acceptance and continuance of client relationships and audit engagements have been followed, and shall determine that conclusions reached in this regard are appropriate, in particular, the group engagement partner shall: (a) Determine whether sufficient appropriate audit evidence can reasonably be expected to be obtained, including in relation to the consolidation process and the financial information of the components on which to base the group audit opinion. (b) Determine that the group engagement team will have appropriate access to those charged with governance of the group, group management, those charged with governance of the component, component management, component information, and the component auditors, including relevant audit documentation sought by the group	(including from other networks); and The importance of two-way communication between the group engagement team and component auditors. Add extant paragraphs A10-A12. Add extant paragraphs A14-A15.

Commented [A3]: The Task Force included an overarching requirement on engagement acceptance and continuance and obtaining sufficient appropriate audit evidence.

Commented [A2]: The Task Force is of the view this section is better placed later in the standard (as a reporting requirement) because it ties to the form and elements of the auditor's report.

<u>Extant ISA 600</u>	<u>Indicative Drafting</u>	<u>Application Material</u>
that: (a) it will not be possible for the group engagement team to obtain sufficient appropriate audit evidence due to restrictions imposed by group management; and (b) the possible effect of this inability will result in a disclaimer of opinion on the group financial statements, the group engagement partner shall either: (a) in the case of a new engagement, not accept the engagement, or, in the case of a continuing engagement, withdraw from the engagement, where withdrawal is possible under applicable law or regulation; or (b) where law or regulation prohibits an auditor from declining an engagement or where withdrawal from an engagement is not otherwise possible, having performed the audit of the group financial statements to the extent possible, disclaim an opinion on the group financial statements. (Ref: Para. A13–A19) ... Understanding the Component Auditor 19. If the group engagement team plans to request a component auditor to perform work	engagement team; and (c) Evaluate whether the nature, timing and extent of group engagement team's involvement in the work of the component auditor will enable the group engagement team to obtain sufficient appropriate audit evidence. 13. If the group engagement partner concludes that: (a) it will not be possible for the group engagement team to obtain sufficient appropriate audit evidence due to restrictions imposed by group management; and (b) the possible effect of this inability will result in a disclaimer of opinion on the group financial statements, the group engagement partner shall either: (c) in the case of a new engagement, not accept the engagement, or, in the case of a continuing engagement, withdraw from the engagement, where withdrawal is possible under applicable law or regulation; or (d) where law or regulation prohibits an auditor from declining an engagement or where withdrawal from an engagement is not otherwise possible, having performed	Add extant paragraph A17-A19.

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on the financial information of a component, the group engagement team shall obtain an understanding of the following: (Ref: Para. A32–A35) (a) Whether the component auditor understands and will comply with the ethical requirements that are relevant to the group audit and, in particular, is independent. (Ref: Para. A37) (b) The component auditor's professional competence. (Ref: Para. A38) (c) Whether the group engagement team will be able to be involved in the work of the component auditor to the extent necessary to obtain sufficient appropriate audit evidence. (d) Whether the component auditor operates in a regulatory environment that actively oversees auditors. (Ref: Para. A36) 20. If a component auditor does not meet the independence requirements that are relevant to the group audit, or the group engagement team has serious concerns about the other matters listed in paragraph 19(a)–(c), the group engagement team shall obtain sufficient appropriate audit evidence relating to the	the audit of the group financial statements to the extent possible, disclaim an opinion on the group financial statements. (Ref: Para. A13–A19) 13A. In applying the requirements of ISA 220 (Revised) and to fulfill the requirement in paragraph 11A, the group engagement partner also shall: Relevant Ethical Requirements (a) Determine that the engagement team have been made aware of relevant ethical requirements that are applicable given the nature and circumstances of the group audit engagement; (b) Obtain an understanding about whether the engagement team understands and will comply with the ethical requirements that are relevant to the group audit and, in particular, is independent; (c) Prior to dating the auditor's report, obtain a confirmation from component auditors that ethical requirements relevant to the group audit, including those related to independence, have been fulfilled; (d) If a component auditor does not meet the independence requirements that are relevant to the group audit, the group engagement team shall obtain sufficient	Add extant paragraph A37 plus application material that explains why it is important for the group engagement partner to remain alert for actual or suspected breaches of relevant ethical requirements. Add extant paragraph A39.

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financial information of the component without requesting that component auditor to perform work on the financial information of that component. (Ref: Para. A39–A41)	appropriate audit evidence relating to the financial information of the component without requesting that component auditor to perform work on the financial information of that component. Engagement Resources (e) Determine that sufficient and appropriate resources are assigned or made available by the component auditor's firm on a timely basis for the work to be performed on financial information that is included in the group financial statements; (f) Determine that the members of the engagement team collectively have the appropriate competence and capabilities, including sufficient time, to perform the group audit engagement; (g) Evaluate whether the component auditor operates in a regulatory environment that actively oversees auditors; Engagement Performance (h) Take responsibility for the nature, timing	Add application material that explains: • Why it may be more difficult to determine whether there are sufficient and appropriate resources in a group audit engagement; • How the group engagement partner can apply this requirement when the component auditor is not part of the network firm; and • What can be done when a component auditor's firm does not assign sufficient and appropriate resources. Add extant paragraph A38 and add application material that explains why this determination is more difficult in a group audit. Add extant paragraph A36. Add extant paragraphs A8-A9 and add

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	and extent of direction and supervision of the members of the engagement team and the review of the work performed; and Monitoring and Remediation 20. If the group engagement team has serious concerns about <...>, the group engagement team shall obtain sufficient appropriate audit evidence relating to the financial information of the component without requesting that component auditor to perform work on the financial information of that component.	application material that explains: • How the group engagement partner can apply the direction, supervision and review requirements of ISA 220 (Revised) in a group audit; • That supervision can be scaled based on the evaluation of the competence of the component auditor; and • How the engagement partner can comply with paragraph 31 (on consultation) of ISA 220 (Revised). Add application material that explains why it is more complicated in a group audit to fulfill the requirement in ISA 220 (Revised) on monitoring and remediation (involvement of different firms / networks involved) and how this can be applied for a group audit. Add extant paragraphs A40-A41.

Commented [A4]: The Task Force may add specific review responsibilities for the group engagement partner.

Commented [A5]: The Task Force will discuss the appropriate linkages to ISA 220 (Revised) with respect to monitoring and remediation.

Commented [A6]: The Task Force will discuss which of the matters in paragraph 13A will trigger this requirement.